CORPORATE SOCIAL RESPONSIBILITY

25IMC26H

Phase 1 – ESG, Materiality, TBL, and SDG Mapping

Secondary Research Report:

Renewable Energy Industry in Egypt

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1. Background

Egypt's renewable energy sector has emerged as one of the country's most strategically significant growth areas, driven by a convergence of rising electricity demand, heightening energy security concerns, and the global imperative to transition towards sustainable development. For decades, Egypt relied heavily on fossil fuels — particularly natural gas — to meet its electricity generation needs. However, the government has more recently made substantive commitments to expand and diversify the national energy mix through significant investments in solar and wind power (Carroll & Shabana, 2010).

Egypt holds considerable natural advantages in the renewable energy space. The country benefits from some of the world's highest solar radiation levels, particularly in Upper Egypt and the Eastern Desert, as well as exceptional wind speeds along the Gulf of Suez coastline. These geographic endowments make Egypt an ideal host for large-scale renewable energy infrastructure, positioning it as a potential regional hub for clean energy production and export.

The legislative foundation for this transformation was established through Law No. 203 of 2014, which opened the renewable energy sector to private sector participation and provided a regulatory framework for wind and solar project development. This was further reinforced by Egypt's nationally determined contribution (NDC) under the Paris Agreement and a concrete national target to source 42% of electricity generation from renewable energy by 2030 — a target that critically underscores the political will and strategic importance attached to the sector's development (Global Climate Initiatives, 2025).

From a Corporate Social Responsibility (CSR) perspective, the renewable energy industry in Egypt presents a compelling case for ESG analysis. As Carroll and Shabana (2010) argue, the 'business case' for CSR is increasingly inseparable from long-term corporate strategy and financial performance. In the context of renewable energy, ESG dimensions — Environmental, Social, and Governance — are deeply intertwined with the sector's capacity to attract investment, generate employment, and deliver sustainable value to society. The following sections provide a structured analysis of each ESG dimension as they pertain to the Egyptian renewable energy industry.

2. ESG Analysis

Environmental, Social, and Governance (ESG) criteria represent a comprehensive framework for evaluating a business's sustainability and ethical impact across three interconnected dimensions (ESG 101 Guide, n.d.). Within the renewable energy industry, ESG issues are particularly material, as the sector's very purpose is to address environmental challenges while delivering social and economic value. As Das et al. (2025) note, 'ESG standards are used to assess the corporate sustainability and ethical performance of companies and investments... used by businesses to monitor and control the effects of their operations on the internal and external environment' (p. 346).

2.1 Environmental

The environmental dimension of the renewable energy sector in Egypt is characterised by a paradox: the industry exists to mitigate environmental harm yet generates its own set of ecological challenges. On the positive side, the transition from fossil fuels to solar and wind energy directly contributes to reducing greenhouse gas (GHG) emissions and improving air quality. This aligns with SDG 7 (Affordable and Clean Energy) and SDG 13 (Climate Action), reinforcing Egypt's commitments under the Paris Agreement (Global Climate Initiatives, 2025).

However, large-scale renewable energy developments introduce significant environmental trade-offs. As Das et al. (2025) observe, 'renewable energy sources — such as solar, wind, and hydropower — offer long-term benefits, but adoption remains inconsistent due to cost barriers and infrastructural limitations' (p. 348). Solar farms require substantial land areas, which can displace desert ecosystems and native flora and fauna, raising concerns related to SDG 15 (Life on Land). Wind energy installations, particularly those along the Suez Gulf, pose documented risks to migratory bird populations due to the region's ecological importance as an avian flyway.

The intermittent nature of solar and wind energy also presents system-level environmental considerations, including the need for battery storage infrastructure — which itself carries end-of-life disposal challenges — and the expansion of transmission infrastructure in fragile desert environments. Long-term sustainability of the sector therefore demands integrated environmental planning that goes beyond carbon reduction metrics.

2.2 Social

The social dimension of the Triple Bottom Line 'deals with the importance of stakeholder well-being, maintaining ethical labour practices and constituting diversified corporate governance' (Das et al., 2025, p. 348). Egypt's renewable energy sector creates tangible social opportunities, most notably in employment. The construction, installation, operation, and maintenance of solar and wind facilities generate skilled and semi-skilled jobs, particularly in engineering and technical disciplines. This directly supports SDG 8 (Decent Work and Economic Growth) and can help address youth unemployment — a persistent socioeconomic challenge in Egypt.

Beyond employment, large-scale renewable energy projects situated in rural or underdeveloped regions offer potential for community development, including improved electricity access and local economic multiplier effects. Nevertheless, significant social challenges remain. Construction site safety conditions, equitable benefit-sharing with host communities, and the risk of displacement remain pressing concerns. As Carroll and Shabana (2010) highlight, the business case for CSR includes 'developing reputation and legitimacy' and 'seeking win-win outcomes through synergistic value creation' (p. 92) — objectives that require meaningful community engagement and benefit-sharing frameworks.

Access to renewable energy technology, particularly rooftop solar, remains heavily restricted by upfront capital costs, limiting the benefits of the energy transition for low- and middle-income households. This structural inequality links to SDG 10 (Reduced Inequalities) and SDG 7 (Affordable and Clean Energy). A skills gap in advanced renewable energy engineering and project management also presents an ongoing challenge, with implications for SDG 4 (Quality Education) and the sector's long-term indigenous capacity.

2.3 Governance

Governance, as an ESG dimension, 'represents the structural and ethical backbone of corporate sustainability... encompassing the systems, practices, and relationships through which companies are directed and controlled' (Das et al., 2025, p. 252). In the context of Egypt's renewable energy sector, governance refers to both corporate governance within energy companies and the broader regulatory and policy environment orchestrated by the state.

Egypt has made meaningful progress in establishing a supportive policy framework. Law No. 203 of 2014 and the associated feed-in tariff scheme have been instrumental in attracting private sector investment, particularly in the Benban Solar Park — one of the world's largest solar installations. Public-private partnership models have enabled scale, linking to SDG 9 (Industry, Innovation and Infrastructure) and SDG 17 (Partnerships for the Goals).

However, governance deficiencies persist. Transparency in project licensing and power purchase agreement (PPA) negotiations has been inconsistent, raising concerns about regulatory clarity and investor confidence. The alignment of grid infrastructure development with the pace of renewable capacity additions remains a structural challenge. As the ESG 101 Guide (n.d.) underscores, 'governance of ESG requires clear accountabilities and responsibilities... Key Performance Indicators (KPIs) and data are critical for measuring and tracking performance' (p. 8). The need for stronger transparency and policy consistency directly reflects SDG 16 (Peace, Justice and Strong Institutions).

3. Primary Research: Interview Questions

In order to confirm, nuance, and supplement the secondary research findings, the following 17 structured interview questions were developed across all three ESG dimensions. These questions are designed to be posed to an industry expert, company CSR representative, or senior practitioner operating within Egypt's renewable energy sector. The questions aim to identify the most material ESG issues specific to the Egyptian context.

Environmental (E)

- 1. How would you assess the current environmental impact of renewable energy projects in Egypt?
- 2. In your opinion, which renewable energy source (solar, wind, hydro) is most effective in reducing carbon emissions in Egypt?
- 3. What are the main environmental challenges facing renewable energy expansion in Egypt?
- 4. How do renewable energy projects contribute to reducing air pollution compared to traditional energy sources?
- 5. Are there any negative environmental impacts (e.g., land use, wildlife disruption) associated with renewable energy projects in Egypt?
- 6. How does Egypt's renewable energy strategy align with global climate goals?

Social (S)

- 7. How has the growth of renewable energy affected job creation in Egypt?
- 8. What skills are most in demand in the renewable energy sector?
- 9. How accessible is renewable energy (like solar panels) for average households in Egypt?
- 10. Do local communities benefit from renewable energy projects? If yes, how?
- 11. What are the main social barriers preventing wider adoption of renewable energy?
- 12. How can awareness about renewable energy be improved among Egyptian consumers?

Governance (G)

- 13. How effective are government policies in supporting renewable energy development in Egypt?
- 14. What role does the private sector play in the renewable energy market?
- 15. Are there enough regulations to ensure transparency and sustainability in renewable projects?

- 16. What incentives (subsidies, tax benefits, etc.) are available for companies or individuals investing in renewable energy?
- 17. What improvements would you recommend in Egypt's energy governance to accelerate the shift to renewables?

4. Interview Findings & ESG–SDG Mapping Table

The following table summarises the key findings identified through the expert interview, categorised by ESG area and mapped to the relevant United Nations Sustainable Development Goals.

ESG Area	Key Findings from the Interview	Related SDGs
Environmental	Renewable energy projects (solar and wind) play a crucial role in reducing air pollution and carbon emissions compared to fossil fuels. However, issues such as initial infrastructure costs and land use effects were repeatedly highlighted by the expert.	SDG 7 (Affordable & Clean Energy) SDG 13 (Climate Action) SDG 15 (Life on Land)
Environmental	Egypt's energy strategy largely aligns with global climate goals, evidenced by a gradual shift away from fossil fuels and increasing reliance on clean energy sources.	SDG 7, SDG 13
Social	The renewable energy sector is generating increasing job opportunities, particularly in engineering, maintenance, and installation. However, a persistent skills gap exists in more advanced technical and managerial areas.	SDG 8 (Decent Work & Economic Growth) SDG 4 (Quality Education)
Social	Despite the many advantages of renewable energy, access remains limited due to high upfront costs — low- and middle-income households face significant barriers to adoption.	SDG 10 (Reduced Inequalities)
Social	Public awareness of renewable energy and its benefits remains moderate, necessitating more targeted education, public communication, and marketing strategies to drive broader adoption.	SDG 12 (Responsible Consumption & Production)
Governance	Government policies and financial incentives play a role in attracting private sector	SDG 9 (Industry, Innovation & Infrastructure)

	participation in renewable energy projects, though inconsistencies in application have been noted.	SDG 17 (Partnerships for the Goals)
Governance	While progress has been made, improvements are required with respect to transparency, regulatory clarity, and long-term policy stability to sustain investment confidence.	SDG 16 (Peace, Justice & Strong Institutions)

5. Interview Findings Analysis

The interview findings illuminate the multidimensional nature of Egypt's renewable energy sector through an ESG lens, revealing both areas of significant promise and persistent structural challenges that must be addressed to realise the full potential of the energy transition.

Environmental Findings

From an environmental perspective, the expert interview confirmed that renewable energy sources — specifically solar and wind — are making a meaningful contribution to reducing carbon emissions and improving air quality relative to conventional fossil fuel generation. This directly supports SDG 7 (Affordable and Clean Energy) and SDG 13 (Climate Action). However, the interview also surfaced concerns regarding the environmental trade-offs inherent in large-scale renewable deployment. Land use pressures, effects on desert biodiversity, and the ecological sensitivity of the Gulf of Suez flyway were identified as material environmental concerns, linking to SDG 15 (Life on Land). As Das et al. (2025) note, 'the environmental dimension of the Triple Bottom Line emphasises the responsible management of natural ecosystems while sustaining economic growth' (p. 347). Egypt's renewable energy strategy must, therefore, evolve to incorporate robust environmental impact assessment frameworks that address both the mitigation of fossil fuel impacts and the management of new ecological risks introduced by renewable infrastructure.

Social Findings

Socially, the expansion of renewable energy is generating employment and supporting economic development, particularly in regions historically excluded from industrial activity. This aligns with SDG 8 (Decent Work and Economic Growth). The interview highlighted specific demand growth in engineering, project management, and installation disciplines. However, a notable skills gap in more advanced renewable energy competencies — including grid integration, energy storage engineering, and environmental compliance — was identified, with implications for SDG 4 (Quality Education). Carroll and Shabana (2010) argue that CSR activities generate business benefits including 'attracting and retaining talent' and building human capital — both of which are contingent upon effective workforce development investment (p. 93).

The affordability barrier emerged as a critical social equity concern: high upfront capital costs for solar photovoltaic (PV) systems effectively exclude lower-income households from the benefits of the energy transition. This structural inequality — linking to SDG 10 (Reduced Inequalities) — risks concentrating the economic benefits of clean energy among wealthier segments of the population. Moderate public awareness of renewable energy and its benefits was also identified as a barrier to broader adoption, with strong implications for SDG 12 (Responsible Consumption and Production).

Governance Findings

From a governance perspective, the interview confirmed that Egypt's policy and regulatory landscape has made measurable progress in supporting the renewable energy transition, particularly through Law No. 203 of 2014 and its associated feed-in tariff mechanisms. Public-private partnerships have successfully mobilised significant private capital, supporting SDG 9 (Industry, Innovation and Infrastructure) and SDG 17 (Partnerships for the Goals). However, persistent governance deficiencies — including regulatory inconsistency, insufficient transparency in licensing and PPA negotiations, and infrastructure alignment challenges — continue to create uncertainty for investors. As the ESG 101 Guide (n.d.) emphasises, effective ESG governance requires 'clear accountabilities and responsibilities' and robust KPIs for tracking progress (p. 8). These gaps directly reflect the challenges captured under SDG 16 (Peace, Justice and Strong Institutions).

Overall, the interview data demonstrates that Egypt is navigating a complex transition in its energy sector, with noteworthy progress across ESG dimensions tempered by structural barriers that require coordinated policy, investment, and institutional reform. Achieving long-term sustainability necessitates addressing financial, social, and regulatory constraints in alignment with the UN 2030 Agenda for Sustainable Development.

6. Material ESG Issues Mapped to TBL and SDGs

The Triple Bottom Line (TBL) framework, introduced by Elkington (1994) and operationalised through the three 'Ps' — People, Planet, and Profit — provides an essential evaluative lens for assessing the material ESG issues identified through secondary research and expert interview. As Das et al. (2025) explain, the TBL framework 'redefined corporate success by enhancing the traditional financial performance model by including three components... People (Social Sustainability), Planet (Environmental Sustainability), and Profit (Economic Sustainability)' (p. 349). The table below maps the top material ESG issues to both TBL categories and their corresponding UN Sustainable Development Goals.

ESG Issue	TBL Category	Related SDGs	Relevance & Explanation
Reduction of carbon emissions & shift to clean energy	Planet	SDG 7 (Affordable & Clean Energy) SDG 13 (Climate Action)	Renewable energy directly reduces reliance on fossil fuels, lowering GHG emissions and helping Egypt combat climate change while ensuring access to cleaner energy sources. This is the sector's primary environmental value proposition.
Environmental trade-offs: land use & ecosystem disruption	Planet	SDG 15 (Life on Land)	Large-scale renewable projects — particularly solar farms and wind installations — may affect land use, biodiversity, and migratory wildlife. Sustainable siting and environmental impact management are critical to maintaining ecosystem integrity.
Job creation in the renewable energy sector	People	SDG 8 (Decent Work & Economic Growth)	The growth of renewable energy creates employment opportunities in installation, maintenance, and engineering, contributing to economic development and improved livelihoods, particularly in underdeveloped regions.
Skills gap in the renewable energy workforce	People	SDG 4 (Quality Education)	The demand for advanced technical expertise highlights the need for targeted education and

			vocational training programmes to prepare Egyptians for high-quality jobs in the energy transition.
Limited affordability & access to clean energy technology	People / Profit	SDG 10 (Reduced Inequalities) SDG 7 (Affordable & Clean Energy)	High upfront costs for solar systems restrict access for low-income households. Addressing affordability through subsidies, green financing, and incentive mechanisms is essential for an equitable energy transition.
Need for increased public awareness	People	SDG 12 (Responsible Consumption & Production)	Raising awareness encourages adoption of sustainable energy practices and drives more responsible consumption decisions among individuals and businesses across Egypt.
Government policies & infrastructure development	Profit	SDG 9 (Industry, Innovation & Infrastructure)	Strong regulatory frameworks and infrastructure investments — including grid expansion and storage — are foundational to the sector's growth and underpin private sector confidence and participation.
Public-private partnerships for renewable energy financing	Profit	SDG 17 (Partnerships for the Goals)	Collaboration between government, private companies, and international development finance institutions is essential to mobilise the capital required for large-scale renewable energy projects at the pace required.
Transparency and regulatory stability in governance	Profit	SDG 16 (Peace, Justice & Strong Institutions)	Transparent regulations and stable, predictable governance frameworks build investor trust, attract long-term capital, and ensure that renewable energy projects are implemented fairly, sustainably, and in the public interest.

7. Selected Environmental Issue for the CW2 IMC Campaign

From the material ESG issues identified in Section 6, the following environmental issue has been selected as the focus for the Phase 2 Integrated Marketing Communications (IMC) campaign:

Environmental Trade-offs: Land Use and Ecosystem Disruption

This issue was selected because it represents one of the most counterintuitive and under-communicated tensions within the renewable energy narrative: the reality that even 'green' infrastructure can carry environmental costs. While the primary environmental benefit of renewable energy — emission reduction — is widely discussed, the land use, biodiversity, and ecosystem disruption challenges associated with large-scale solar and wind installations are rarely addressed in mainstream public discourse, particularly in Egypt.

The relevance of this issue is both strategic and communicative. From a stakeholder theory perspective, Gutterman (2024) emphasises that CSR communication must engage with the full spectrum of stakeholder concerns — including those challenging dimensions that organisations might prefer to minimise. An IMC campaign centred on this issue can serve two functions: first, to educate Egyptian consumers and communities about the true environmental complexity of the energy transition; and second, to advocate for responsible siting practices, biodiversity impact assessments, and science-based mitigation measures.

This environmental issue maps directly to the following Sustainable Development Goals:

- SDG 7 (Affordable and Clean Energy): The campaign will affirm the essential role of renewable energy while advocating for practices that minimise ecological harm.
- SDG 13 (Climate Action): Addressing the full lifecycle impact of renewable infrastructure strengthens the integrity of Egypt's climate commitments.
- SDG 15 (Life on Land): The campaign will promote biodiversity-sensitive siting, habitat offsetting, and ecosystem monitoring as foundational practices for the renewable energy sector.

By choosing this issue, the campaign aims to move beyond greenwashing and position Egypt's renewable energy sector as one that takes its full environmental footprint seriously — a commitment that, as Carroll and Shabana (2010) argue, not only serves society but strengthens the long-term legitimacy and competitive advantage of participating organisations (p. 93).

8. Stakeholder Identification

Stakeholder theory, as articulated by Freeman (1984) and further developed by Gutterman (2024), holds that organisations must identify and balance the interests of all parties affected by or who affect their operations — not merely shareholders. In the context of Egypt's renewable energy sector, the range of relevant stakeholders is broad and spans public, private, civil society, and international domains. Das et al. (2025) affirm that 'the ability of a company to successfully manage and balance the interests of many stakeholder groups, including workers, clients, suppliers, communities, and investors, determines its level of success' (p. 347).

Stakeholder Group	ESG Relevance	Interest / Role
Egyptian Government (Ministry of Electricity & New and Renewable Energy; EETC)	Governance	Sets policy, regulation, and national renewable energy targets. Issues licences and power purchase agreements (PPAs). Acts as the primary enabler and regulator of the sector's growth.
Private Sector Investors (Local & International Developers, IPPs)	Governance / Profit	Finance, develop, and operate renewable energy projects. Dependent on regulatory stability, transparent procurement processes, and bankable PPA frameworks. Key driver of capital mobilisation.
Egyptian Electricity Holding Company (EEHC)	Governance / Environmental	Operates the national electricity grid, purchases power from renewable generators, and manages grid integration. Critical intermediary between generators and consumers.
Local Communities (in proximity to project sites)	Social / Environmental	Directly affected by land use decisions, employment opportunities, and infrastructure development. May experience displacement or benefit from community development programmes and local hiring.
Egyptian Workforce & Youth	Social	Primary beneficiaries of renewable energy job creation. Require access to technical education, vocational training, and skills development programmes to qualify for sector opportunities.
Non-Governmental Organisations (NGOs) & Environmental Civil Society	Environmental / Social	Advocate for biodiversity protection, community rights, and transparent environmental impact assessment. Monitor compliance with environmental and social safeguards.

International Development Finance Institutions (World Bank, EBRD, IFC, IRENA)	Governance / Profit	Provide concessional financing, technical assistance, and institutional capacity support. Impose ESG conditionalities that raise the governance bar for sector participants.
Academic Institutions & Research Centres	Social / Environmental	Conduct research on renewable energy technology, environmental impact, and policy effectiveness. Develop the skilled human capital required for the sector's long-term growth.
International Investors & ESG-Focused Funds	Governance / Profit	Assess Egypt's renewable energy sector through ESG screening criteria. Increasingly influential in directing capital towards projects that meet international standards for transparency, environmental management, and social responsibility.
Egyptian Consumers & Households	Social	End users of electricity. Potential adopters of distributed solar technology (rooftop PV). Affected by energy prices, service reliability, and access to cleaner, more affordable energy sources.

The above stakeholder mapping reflects the complexity and interconnectedness of the renewable energy ecosystem in Egypt. Effective CSR practice in this sector requires not only the identification of stakeholders but the active management of their interests — particularly in cases where stakeholder priorities conflict, such as between rapid project deployment (investor interest) and community environmental protection (civil society interest). As Carroll and Shabana (2010) argue, stakeholder management is central to the business case for CSR, as it underpins corporate reputation, social legitimacy, and long-term financial performance (p. 92).

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